Augstsprieguma tīkls (AST)

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: A- with a stable outlook (agency not named in the report)[1,2]
Next report: 9M 2026 interim report - 2026-11-30[3]

Position OK. AST is Latvia's 100% state-owned electricity transmission operator, rated A-[4,1]. For the EUR 100m bond maturing on 2027-01-20 it holds EUR 94.7m of cash and an undrawn SEB overdraft of up to EUR 90m[5].

EBITDA (6M2026)	Net profit (6M2026)	Net debt / EBITDA (6M2026)	Equity ratio (6M2026)
61.4 EUR m	**22.5 EUR m**	**0.93x**	**40%**
▲ 22.3 % vs 6M2025	▲ 17.8 % vs 6M2025	▼ 0.39x vs FY2025	▼ 1 p. p. vs 6M2025

Quick summary

- **Results improving:** 1H EBITDA EUR 61.4m (50.2m), margin 33% (28%); profit EUR 22.5m (19.1m)[6].
- **Low debt:** net debt about EUR 94m, about 0.9 times annual EBITDA (calculated by the tool); equity ratio 40%[6].
- **Bond redemption covered:** for the EUR 100m green bond due January 2027 there is an SEB overdraft of up to EUR 90m (to 2027-03-10), undrawn at 2026-06-30[7,1].
- **Large investments:** EUR 209m invested in 2025; the Development Plan 2027-2036 is EUR 1,066m, of which up to EUR 289m is EU co-financing[8,7].

Instruments held and ISINs

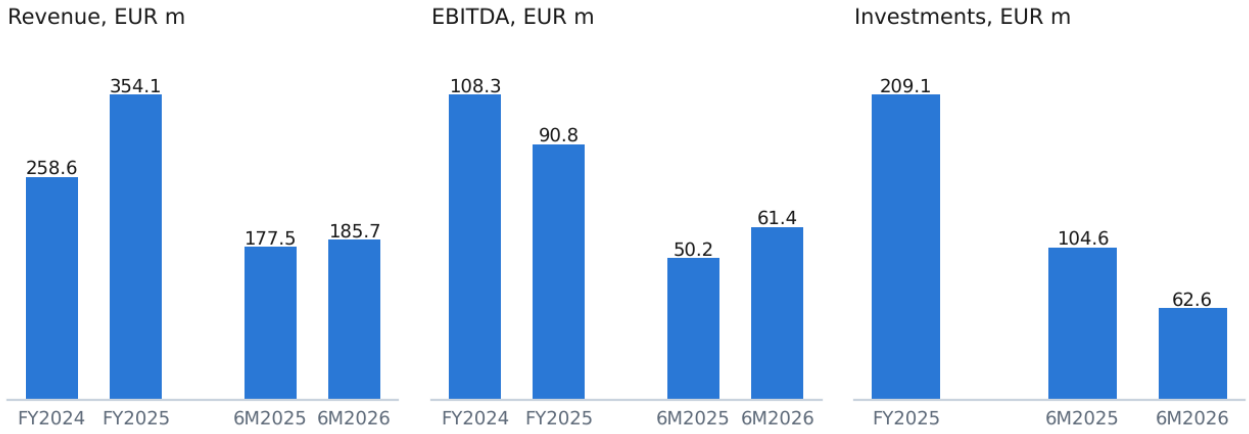
ISIN	Instrument	Coupon	Maturity	Note
LV0000802528	AST 0.5% green bond 2027	0.5%	2027-01-20	Listed 2021-11-29; refinancing backed by SEB overdraft up to EUR 90m (to 2027-03-10)

Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Revenue, EUR m[9,6]	258.6*	354.1*	177.5*	185.7*	**▲ 4.6 % vs 6M2025**
EBITDA, EUR m[9,6]	108.3*	90.8*	50.2*	61.4*	**▲ 22.3 % vs 6M2025**
Net profit, EUR m[9,6]	22.7*	27.5*	19.1*	22.5*	**▲ 17.8 % vs 6M2025**
Investments, EUR m[8,6]	–	209.1*	104.6*	62.6*	▼ 40.2 % vs 6M2025
Net debt, EUR m[9,6]	74.2ᶜ	120.0ᶜ	134.3ᶜ	94.4ᶜ	**▼ 29.7 % vs 6M2025**
Net debt / EBITDA[9,6]	0.69xᶜ	1.32xᶜ	–	**0.93xᶜ**	**▼ 0.39x vs FY2025**
Equity, EUR m[9,6]	641.1*	651.7*	644.9*	657.6*	**▲ 2.0 % vs 6M2025**
Equity ratio[9,6]	42%*	41%*	41%*	**40%***	**▼ 1 p. p. vs 6M2025**
Total assets, EUR m[9,6]	1,529.0*	1,587.9*	1,567.7*	1,640.3*	▲ 4.6 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- AST runs Latvia's 330 kV and 110 kV transmission grid (330 kV: 17 substations, 1,727 km; 110 kV: 130 substations, 3,786 km) and owns 68.46% of Conexus Baltic Grid (gas transmission and the Inčukalns storage)[10].
- The Baltics synchronised with Continental Europe on 2025-02-09; the balancing capacity market has run since 2025-02-04[11].
- New three-year tariffs apply from 2026-01-01, with the average AST tariff falling by 10%[12].

Financials

- FY2025 revenue EUR 354.1m (258.6m), EBITDA EUR 90.8m (108.3m), profit EUR 27.5m (22.7m)[9].
- Borrowings EUR 189.0m and cash EUR 94.7m at 2026-06-30; the bonds (EUR 100.2m) are now short-term[6].
- **Dividends:** the parent company paid EUR 13.6m in 1H[13].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Synchronise the Baltics with Continental Europe	Done on 2025-02-09, confirmed as permanent[14,15]	Done[14].	**Met**
Refinance the EUR 100m bond (maturity 2027-01-20)	Cash EUR 94.7m and an SEB overdraft of up to EUR 90m; no new issue plan in the report[5]	Enough funds for the redemption[5].	**In progress**
Development Plan 2027-2036: EUR 1,066m of investment	Submitted to the regulator (PUC) on 2026-07-30[7]	Awaiting approval[7].	**In progress**

Investor information & conclusions

- **Instrument held:** a 0.5% green bond, EUR 100m, maturing 2027-01-20 (Nasdaq Riga since 2021-11-29)[16].
- **Redemption:** less than three months to maturity; cash (EUR 94.7m) and the undrawn EUR 90m overdraft cover the full amount[5].
- **Conclusion:** low risk thanks to state ownership, regulated business, an A- rating and secured redemption funding.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel
- Electricity transmission and gas infrastructure
- No activity in excluded sectors[10].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards
- No UN Global Compact or OECD related controversies found.

☐ Yes, the company is not in the list of sanctions (add a screenshot)
Needs review
- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)
- No adverse news found (2026-10-22).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)
- The grid connects renewables: five new connection agreements in Q1 2026, including a 160 MW hybrid plant
- New links with Estonia, Sweden and Germany planned[17,18].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)
- Green bonds (2021) fund the transmission grid
- SF6 equipment is being replaced[1,14].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards
- No yellow flags found.
- Board appointments follow open competitions[19].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies
Applicable
- The Electricity & Renewable Energy policy[20].

Met
- The development plan integrates more renewables, ISO 45001 safety, an annual sustainability report[21].

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?
- No need: a state-owned regulated transmission company.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund
- A sustainability report under ESRS is published, with Scope 3 emissions from 2025
- Almost 100% of waste is recycled[22].

Additional comments:

Conclusion: No exclusions or red flags. The transmission grid is essential for renewable expansion.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. AST - Interim financial statements 12M 2025, p. 14, 2026
2. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11-12, 2026
3. Nasdaq Baltic - AST reports list, 2026-10-19
4. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 3, 2026
5. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 11, 2026
6. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 2026
7. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11, 2026
8. AST - Interim financial statements 12M 2025, p. 13, 2026
9. AST - Interim financial statements 12M 2025, p. 5, 2026
10. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 11, 2026-04-24
11. AST - Annual report 2025 (sustainability report and audited financial statements), p. 15-16, 2026-04-24
12. AST - Interim financial statements 12M 2025, p. 8, 2026
13. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 22, 2026
14. AST - Annual report 2025 (sustainability report and audited financial statements), p. 15, 2026-04-24
15. AST - Interim financial statements 12M 2025, p. 7, 2026
16. Nasdaq Baltic - AST 0.5% green bond LV0000802528, 2026-10-22
17. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 11, 2026
18. AST - Annual report 2025 (sustainability report and audited financial statements), p. 18, 2026-04-24
19. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 2026
20. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), p. 6-8, 2026-04-23
21. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8-9, 15, 2026-04-24
22. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 24, 2026-04-24

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